

Busted patterns count. About one in five patterns will bust. A bust happens when price breaks out upward and rises no more than 10% before turning down and closing below the bottom of the chart pattern (below the lower of the two lows).

Busted occurrence. Single busted patterns happen most often followed by double and triple (or more) busts, respectively. That may sound obvious, but a number of times we see three or more busts placing second for frequency.

Busted and non-busted performance. Single busted patterns perform best by seeing price drop an average of 25% below the bottom of the pattern. I used Eve & Adam double *tops* as the proxy for a non-busted double bottom. The drop from them matches what we see for the combination of single, double, and three or most busts.

Trading Tactics

[Table 28.10](#) shows trading tactics.

Measure rule, targets. To determine how far price may rise, use the measure rule: the height of the double bottom (highest high minus lowest low) added to the breakout price.

For example, the double bottom shown in [Figure 28.6](#) has a confirmation (or breakout) price of 12.50, and the Adam bottom is the lower of the two bottoms, at 9.00. The difference between the two, 3.50, represents the pattern's height. Add this value to the breakout price (the confirmation line of 12.50) to get the target of 16. Price reaches the target in mid-March.

The bottom portion of the table shows how often various heights in the measure rule work. For example, the target just calculated uses the full height. It works, on average, 72% of the time. If you slice the height in half or double it, the success rate changes. The table lists targets using various height multipliers.